

Term Sheet Change Requests

Learn how to respond to change requests on term sheets

Overview

When a facility agent reviews a term sheet and needs modifications, they can request changes. This allows borrowers to update the term sheet and resubmit it for review, creating an iterative improvement process that helps refine proposals before approval. Understanding change requests helps you effectively respond to facility agent feedback and improve your term sheets.

Who Can Use This

- Borrowers who receive change requests and need to update their term sheets
- Facility Agents who request changes to improve term sheet quality

When This Is Used

Use change requests when:

- Facility agent needs modifications to your term sheet before approval
- You need to update information based on facility agent feedback
- You want to improve your proposal through iterative refinement
- Facility agent identifies issues that need to be addressed
- Terms need adjustment to meet requirements or improve feasibility

Step-by-Step Process

Receiving a Change Request

1. Receive Notification

- You receive notification that a change request has been made

- Notification includes details about what needs to change
- Term sheet status changes to "CHANGES_REQUESTED"
- You can view the change request details

2. **Review Change Request Details**

- Navigate to your term sheet
- Open the change request section
- Read change request details carefully
- Understand what specific modifications are needed
- Note any deadlines or priorities mentioned
- Check if re-signing is required after changes

3. **Understand Requirements**

- Identify all requested changes
- Clarify any unclear items (contact facility agent if needed)
- Determine what fields need updating
- Identify what documents need updating (if any)
- Prioritize changes if multiple items are requested
- Understand the reason for each change

Making Changes

1. **Access Term Sheet for Editing**

- Navigate to your term sheet
- Status shows "CHANGES_REQUESTED" which allows editing
- Click to edit the term sheet
- Editing interface opens

2. **Make Requested Modifications**

- Update facility name if requested
- Adjust maximum facility amount if needed
- Modify interest rate or rate structure if requested
- Update repayment terms if changes are needed

- Adjust facility term or duration if requested
- Update purpose or other terms as requested
- Modify any other fields that need changes

3. **Update Documents if Required**

- Replace or update supporting documents if requested
- Upload new documents if additional documentation is needed
- Ensure documents meet quality and format requirements
- Verify all required documents are still included

4. **Review Your Changes**

- Verify all requested changes are addressed
- Check that information is accurate and complete
- Ensure documents are current and correct
- Review terms to ensure they're still reasonable
- Make sure nothing was accidentally removed or changed incorrectly

5. **Save Your Changes**

- Save your progress (you can save multiple times)
- Status remains "CHANGES_REQUESTED" while you work
- You can return later to complete changes if needed
- Changes are saved and preserved

Re-signing if Required

1. **Determine if Re-signing Is Needed**

- Check if key terms changed (amount, interest rate, repayment terms, etc.)
- Review change request to see if re-signing is mentioned
- Understand that significant changes typically require re-signing

2. **Complete Electronic Signature Again**

- If re-signing is required, initiate the signature process
- Review the updated document you're signing
- Complete the electronic signature

- Verify signature is complete and correct

3. **Verify Signed Version**

- Review the signed version
- Ensure all changes are reflected correctly
- Verify signature is legally binding
- Confirm everything is accurate

Resubmitting for Review

1. **Prepare for Resubmission**

- Ensure all requested changes are complete
- Verify all required fields are filled
- Check that signing is complete (if required)
- Review everything one final time
- Confirm you're ready to resubmit

2. **Resubmit for Facility Agent Review**

- Click "Resubmit" or "Submit for Review" button
- Confirm the resubmission action
- Status changes back to "FAReview"
- Facility agent receives notification

3. **Wait for Review Again**

- Facility agent reviews your updated term sheet
- Review typically takes a few days
- You receive notifications about status changes
- You can monitor review progress

4. **Handle Subsequent Decisions**

- **If Approved:** Term sheet is approved, master commitment is automatically created
- **If Rejected:** Term sheet is rejected, you must create a new one
- **If More Changes Requested:** Process repeats - you make changes and resubmit again

Rules & Validations

- You can only edit term sheets when status is "CHANGES_REQUESTED". Once resubmitted, editing is restricted until another change request is made.
- Status remains "CHANGES_REQUESTED" while you work on changes. It doesn't change until you resubmit.
- You must address all requested changes before resubmitting. Incomplete changes may result in another change request.
- Re-signing may be required if documents or key terms changed. Significant changes typically require a new signature.
- You can go through multiple rounds of changes. The process can repeat until approved or rejected.
- You can save multiple times while working. Your progress is saved, and you can return later to complete changes.
- Change requests are less severe than rejection. You can update and resubmit without creating a new term sheet.
- All changes are recorded. Every edit and resubmission is tracked in the audit trail.
- Facility agents can request changes multiple times. You may go through several rounds of refinement.
- Status controls what actions are available. You can only edit and resubmit when status allows it.

What Happens Next

After receiving a change request:

- You can edit the term sheet to make requested changes
- You can save multiple times while working on changes
- You resubmit when changes are complete
- Facility agent reviews again and can approve, reject, or request more changes
- Process can repeat until approved or rejected

After resubmitting:

- Facility agent reviews your updated term sheet
- Facility agent makes a new decision (approve, reject, or request more changes)
- If approved, master commitment is automatically created
- If rejected, you must create a new term sheet
- If more changes are requested, the process repeats

Understanding term sheet change requests helps you effectively respond to facility agent feedback, refine your proposals through iterative improvement, and successfully move from change requests to approval.